1. Derivatives – Meaning

A derivative is a financial contract whose value is derived from another asset or reference value.

The asset or reference value is called the underlying.

Underlying assets may include shares, stock indices, currencies, commodities or interest rates.

Derivatives are mainly used for hedging, speculation and price discovery.

Example

A Nifty futures contract gets its value from movements in the Nifty index.

2. Definition of Derivatives

A derivative is an agreement between parties whose value changes according to the underlying asset.

The contract specifies important terms such as price, quantity and settlement date.

The derivative does not necessarily require immediate purchase or sale of the underlying asset.

Its value depends on changes in the underlying.

Example

If the price of gold changes, the value of a gold futures contract may also change.

3. Why are Derivatives Used?

Hedging – reducing the risk of an unfavourable price movement.

Speculation – taking a position to earn profit from an expected price movement.

Price discovery – helping the market estimate future prices.

Risk transfer – shifting certain financial risks between market participants.

Example

An exporter can use a currency derivative to reduce the risk caused by changes in the exchange rate.

4. Products of Derivatives

Forward Contracts – customized agreements between two parties.

Futures Contracts – standardized contracts traded on an exchange.

Options – give the buyer a right, but generally not an obligation, to buy or sell.

Swaps – agreements to exchange one set of cash flows for another.

Example

A company expecting foreign currency after three months may use a forward contract to lock in an exchange rate.

5. Participants in Derivatives Market

Hedgers – use derivatives to protect against risk.

Speculators – accept risk in the hope of earning profit.

Arbitrageurs – try to benefit from price differences in related markets.

Brokers and intermediaries – help investors execute trades.

Exchanges and clearing institutions – provide trading and settlement infrastructure.

Example

A farmer protecting the future selling price of a crop is a hedger; a trader betting that the price will rise is a speculator.

6. Functions of Derivatives

Risk management: helps manage price, currency and interest-rate risk.

Hedging: protects against adverse price movements.

Price discovery: provides information about expected future prices.

Liquidity: facilitates buying and selling of financial exposures.

Speculation: allows investors to take positions based on market expectations.

Example

A company worried about a rise in fuel prices may use a suitable derivative to reduce the impact.

7. Types of Derivatives

Forward – private and usually customized.

Future – standardized and normally exchange-traded.

Call Option – right to buy.

Put Option – right to sell.

Swap – exchange of cash flows.

Derivatives may be based on financial or physical underlying assets.

Example

Currency forwards, Nifty futures, stock options and interest-rate swaps are examples of derivatives.

8. Development of Exchange-Traded Derivatives

Exchange-traded derivatives are contracts bought and sold through organized exchanges.

Contracts are standardized in terms of quantity, expiry and other specifications.

Exchange trading improves transparency and liquidity.

Clearing systems help manage settlement and counterparty risk.

Electronic trading has made derivatives trading faster and more accessible.

Example

Instead of negotiating a separate contract with every trader, investors can trade standardized futures through an exchange.

9. Global Derivatives Markets

Derivatives markets operate in major financial centres around the world.

Important areas include equity, index, currency, commodity and interest-rate derivatives.

Global derivatives help companies and investors manage financial risks.

They also support international trade and investment.

Large institutional investors, banks and corporations are major users.

Example

A multinational company receiving payments in dollars may use currency derivatives to manage exchange-rate risk.

10. Derivatives Market in India

India has an organized derivatives market covering equity, index, currency and commodity segments.

Index and stock futures and options are important equity derivatives.

Derivatives are traded through regulated market infrastructure.

Exchanges provide trading platforms and clearing arrangements support settlement.

Market participants include individual investors, institutions, corporates and financial intermediaries.

Example

An investor holding shares may use an index futures position as part of a strategy to manage broad market risk.

11. Futures and Options

Futures are standardized contracts where the parties have contractual obligations.

Options give the buyer a right, but not an obligation, subject to the contract.

The option buyer generally pays a premium.

Futures generally involve margin requirements.

Both can be used for hedging and speculation.

Example

With a futures contract, both sides are committed to the contract; with an option, the buyer can choose whether to exercise the right.

12. Options – Meaning

An option is a derivative contract giving the buyer a right to buy or sell an underlying asset at a specified price.

The specified price is called the strike price.

The option buyer generally pays a premium.

The two basic types are call options and put options.

Options can be used for both protection and trading strategies.

Example

If an investor wants protection against a fall in a share price, a put option may be considered.

13. Development of Options Market

The options market developed to provide investors with greater flexibility in managing risk.

Exchange-traded options use standardized contract terms.

Growth in electronic trading has increased market access.

Index and stock options are widely used in modern financial markets.

Options support hedging, speculation and portfolio strategies.

Example

An investor can use an index option to manage exposure to a broad market movement rather than dealing with each share separately.

14. Call Options

A call option gives the buyer the right to buy the underlying asset at the strike price.

The buyer generally pays a premium for this right.

The buyer may benefit when the underlying price rises.

The call seller has an obligation if the option is exercised.

Call options are commonly associated with a bullish expectation.

Example

Strike price = ₹100. If the share rises well above ₹100, a call option may become valuable, depending on the premium and other terms.

15. Put Options

A put option gives the buyer the right to sell the underlying asset at the strike price.

The buyer generally pays a premium.

A put may gain value when the underlying price falls.

Put options can be used to protect an existing investment.

Put options are commonly associated with a bearish expectation.

Example

An investor holding a share at ₹100 may buy a put with a ₹95 strike as protection against a fall, subject to the premium.

16. Organized Options Trading

Organized options are traded through recognized exchanges.

Contracts have standardized features such as expiry, strike prices and contract size.

Trading rules improve transparency and orderly transactions.

Clearing arrangements help reduce counterparty risk.

Prices are visible to market participants.

Example

An investor can buy a listed index option through a registered broker rather than privately negotiating a contract.

17. Exchanges on Which Options Trade

Options are traded on recognized and regulated exchanges.

In India, major exchanges such as NSE and BSE provide listed derivatives markets.

Exchange rules specify contract terms and trading procedures.

Clearing and settlement systems support completion of trades.

Investors generally access exchange-traded options through registered brokers.

Example

A retail investor can place an order for a listed index option through a broker connected to the exchange.

18. Forward Contracts

A forward contract is an agreement to buy or sell an asset at a future date at a price agreed today.

It is usually customized according to the needs of the parties.

Forwards are generally traded over the counter rather than on an exchange.

They are widely used for currency and commodity risk management.

Because they are private contracts, counterparty risk can be important.

Example

An Indian exporter expecting US dollars in three months can agree with a bank today on an exchange rate for the future receipt.

19. Forward vs Futures

Forward: usually private and customized.

Futures: standardized and normally exchange-traded.

Forward: higher counterparty risk may exist.

Futures: clearing mechanisms help manage counterparty risk.

Both can be used to lock in or manage future prices.

Example

A company needing a specially tailored currency contract may prefer a forward, while an investor trading a standardized index contract may use futures.

20. Futures vs Options

Futures create contractual obligations for both parties.

Options give the buyer a right, not an obligation.

Options generally involve a premium paid by the buyer.

Futures generally involve margin requirements.

Both can be used for hedging and speculation.

Example

Futures = obligation; Options = right for the buyer.

21. Call vs Put – Easy Comparison

Call option → Right to BUY.

Put option → Right to SELL.

Call → generally useful when expecting a rise.

Put → generally useful when expecting a fall or seeking downside protection.

Both require the buyer to pay a premium.

Example

Remember: CALL = BUY; PUT = SELL.

22. Derivatives Example

Suppose an investor expects a share price to rise.

Instead of buying the share directly, the investor may consider a call option.

If the share price rises significantly, the call may gain value.

If the expected movement does not occur, the option may expire with little or no value.

The investor's actual outcome depends on the strike price, premium and expiry.

Example

Share price = ₹100; call strike = ₹100. If the share rises to ₹125, the call may be valuable before considering the premium.